
Comments on SEBI's Consultation Paper on
*Measures to enhance efficiency in polling methodology adopted for
spot price determination of commodities*

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1 The proposal

This SEBI consultation paper was published on 27 June, 2018 with the view to improve the polling methodology used to determine commodity spot prices.

2 A detailed examination of the proposed interventions

Section 9 of the SEBI white paper proposes measures for improving the credibility and transparency of the polling process. The proposals are listed from Paragraphs 9.2.1 to 9.2.9.

While there are no clearly stated objective for the various measures SEBI proposes, there is one general overarching objective that is suggested: to achieve better convergence of the spot and derivatives markets.¹

Our comments in each of SEBI's proposals are as follows:

9.2.1 *Accreditation of independent polling agency (or price reporting agencies) for spot price polling*

In this proposal, SEBI appears to describe 'accreditation' as a process whereby exchanges designate specific price polling agencies that are independent of the exchange.

This is not how the term accreditation is generally understood. The exchange can choose to conduct the price polling process itself, or outsource it to a third party agency.

In our understanding, accreditation is a process which is undertaken by an exchange when it outsources the task of price polling to third parties. The exchanges impose certain checks on a periodic basis to on the price polling agency, and its price polling process to ensure that the quality of spot prices reported by them is robust. The process of accreditation takes into account, not just the polling agencies but also the polling participants, based on various criteria, among

¹It is unclear whether the causality of convergence is expected to run from the derivatives market to the spot or vice-versa.

which are (1) experience in markets, (2) expertise about the commodity, (3) active market participation in relation to the commodity, and (4) a clean legal record of compliance with market norms.

This is in line with the IOSCO Principles for Financial Benchmarks, which suggest that there must be an oversight mechanism for third parties to whom critical functions like price polling are outsourced.² For instance, the London Metals Exchange (LME) has 13 accredited price participants that contribute to the LBMA Gold Price.³

9.2.2 *Creating a (SEBI) regulatory framework for polling agencies and polling participants*

Currently in India, the SEBI's 2nd September, 2016 Circular on Spot Price Polling Mechanism, sets guidelines on polling for benchmark rates. Much of the thinking in this circular is in line with recent global actions on this subject.⁴

The SEBI Circular already has provisions in regard to transparency and dissemination of polled prices (Section 3.2, page 4 of the SEBI white paper refers to these provisions). It places the requirement on exchanges to disseminate the input data on a daily basis, and make it accessible to the public for 3 years.

²Oversight of third parties in the 2013 IOSCO Principles for financial benchmarks.

³LBMA Gold Price, 2008, <http://www.lbma.org.uk/lbma-gold-price>.

⁴Globally, the discussion about regulation for polled benchmark rates have arisen from the abuse of market power in setting the London Inter-bank Offer Rate, LIBOR, where the polling participants are the largest banks in the world. Despite being a price on which the largest global market trade, this benchmark rate was found to be manipulated by polling participants. The LIBOR scandal has triggered common regulatory responses with regard to the regulation of benchmark prices.

In the UK, administrators of polled benchmarks are required to have appropriate governance arrangements, including the formation of an oversight committee, to have effective controls to ensure the integrity of input data and to keep adequate records.

The US has strengthened the integrity of benchmark prices by putting in place monetary penalties for manipulation and misconduct. Some examples include *Summary of performance and financial information* CFTC, 2015, and *CFTC Finds Statoil ASA Attempted to Manipulate the Argus Far East Index, a Propane Benchmark, to Benefit Statoil's NYMEX-cleared Swaps Position*, CFTC, 2017.

The *European Benchmarks Regulation, 2016 (Regulation No(EU) 2016/1011)*, presents four main objectives for commodity related benchmarks: (1) to improve governance and avoid conflicts of interest; (2) to improve the quality of inputs and methodologies; (3) ensuring contributors are subject to controls, and (4) consumer protection.

Further, commodity derivatives exchanges are mandated to create an Advisory Committee comprising members of its Board, market participants and independent experts, to review the details of specific contracts, which also includes a review of the polling methodology and polling participants. This addresses Objectives (1-4) laid out in *European Benchmarks Regulation, 2016 (Regulation No(EU) 2016/1011)*.

This white paper does not present any evidence of fresh problems that can serve as a reason for amending the existing regulations or for bringing price polling agencies or polling participants under the direct regulatory ambit of SEBI.

Thus, while the list of challenges to the polled price methodology presented in Sections 8.1 to 8.4. appears plausible, there is little or no evidence presented in the white paper on how SEBI's regulatory control will address them. Further, it is unclear whether SEBI has the jurisdiction under the SEBI Act, 1992 or the SCRA, 1956 to regulate entities that are explicitly within the purview of the spot market for commodities.

9.2.3 *Providing incentive to the polling participants for submitting the spot prices and requiring polling agencies/exchanges to enter into a legal contract with the polling participants for obtaining their services*

At present, the incentive of a polling participant is that their view is incorporated into the benchmark price. Any incentive that is monetary in nature may introduce a conflict of interest for the polling participant.

Further, the recommendation that the exchange or the polling agency enter into a legal contract with polling participants introduces a cost, both for the exchange and for the polling agencies/participants. In fact, if the terms of such contracts are designed to make it an obligation of the polling participant to submit prices, it may create a disincentive for polling participants to participate. Also, enforcement of such contracts will pose a legal challenge for the exchanges.

Therefore, before imposing the requirement of legal contracts, the benefits of this action must be balanced by costs that may arise, and the disruption that it may cause to current business models of the polling process.

If these costs and benefits are not carefully analysed and understood, this recommendation is likely to have the effect of reducing the current participation in the polling process.

9.2.4 *The representation of polling participants*

It is a well accepted observation that a large and heterogeneous participant base is required for a robust and efficient market. Similarly, having a wide variety of polling participants makes for a robust and efficient benchmark price because there is a lower likelihood that such a price can be readily manipulated. When participation is concentrated, there is a higher chance of price manipulation (Pirrong 2010; Verstein 2015).

Anecdotal review of the polled prices⁵ available on the exchange website, indicates that there appears to be a sizeable (by number) participant pool that is polled for benchmark prices in the agricultural commodity markets. In the case of non-agricultural commodity markets, the participants tend to be smaller in number, in comparison. In addition, benchmark prices in the latter tend to be set on the basis of prices in the international commodity markets.

Lastly, exchange surveillance mechanisms monitor for concentration of positions in the derivatives markets, and are best incentivised to monitor the linkages between dominance in the polled prices and positions in the derivatives markets.

So while this recommendation is consistent with building liquid markets, there is no new action that is required for this.

9.2.5 *Use of technology in price polling*

The use of technology involves cost to the exchange or the polling agency, and is part of the business decision of the polling entity. The benefits of the use of technology are in the rapidity of dissemination of the price information to a wider group of participants. However, since the use of technology is aligned with the business interests of the polling agency, this is a decision that is best left to these entities.

⁵As an example, we examined the polled price information for 8th August 2017 for commodities with futures traded at the NCDEX https://ncdex.com/Downloads/PolledPrices_Report/pdf/Polled_Price_Quotes_08_08_2017.pdf. This is in marked contrast to the 8 banks that were polled to obtain the LIBOR in the pre-2008 period.

The role of the regulator, if at all, in this regard is to review the degree of competition that exists in the price polling space, and whether technology has become a tool for creating market power.

9.2.6 *Increasing the time and frequency for collection of price from polling participants*

The frequency and time of obtaining prices is central to the business decision of the exchange and should be left to the exchange to decide. There is a cost to a higher frequency of polled price collection that has to be incurred by the exchanges. If exchanges find economic value in increasing the frequency of spot price data collection, they will do so themselves.

Further, polling agencies may find that a carrying out price polls at a higher frequency than what is required by the exchange is a viable business model. In such cases, they should be free to do so, as long as it does not fall outside of the purview of their agreement with the exchange.

SEBI should also consider why the burden of increased spot price polling frequency should be placed on the commodity derivative exchanges. For instance, AGMARKNET currently collects and disseminates spot prices for agri commodities across mandis at a daily frequency. This price dissemination is in the nature of a public good. The question arises as to why AGMARKNET should not be asked to increase the frequency of its spot price reports.

9.2.7 *Uniformity in price polling methodology*

As described in an earlier point, there are structural differences between different commodity markets. These differences are driven by the products and the participants in the respective markets.

For example, non-agricultural commodities like crude oil and steel have a very different set of participants as producers and consumers, compared to producers and consumers of agricultural commodities like wheat or cardamom. Agricultural commodities tend to have much more fragmentation across types of grades than non-agricultural commodities.

In a reflection of these differences, it is neither possible nor desirable to have a uniform polling manual for all commodities prices. How-

ever, the principles of how to approach price polling is the same across all commodities: that the polling price methodology should be designed to minimise the chances of manipulation. The problem of manipulation in such methodology is a well-known and studied problem, particularly in thin markets (Cornell 1997; Cita and Lien 1997). What should be made uniform is the focus on ensuring that the methodology is designed to be less vulnerable to manipulation.

The methodology is usually broken up into two parts: (1) who to select to poll (or the polling participants), and (2) how to calculate a single benchmark price from the prices collected from a set of participants. As mentioned in the response to Section 9.2.4, the selection of participants should be done to cover as wide a range of participants as possible.

However, once the prices are collected, there are well-studied approaches in the statistical and data analytical literature on how to reduce the probability that one or a set of participants prices can influence the benchmark price. These include statistical methods to test for collusion in the polled prices, and use only a subset of the polled rates to calculate a benchmark rate (Cita and Lien 1998; Shah 1998). This has been found to lead to benchmark prices that are more robust to manipulation than the methodology used in markets such as LIBOR.

9.2.8 *Use of actual traded prices rather than polled perception prices*

Assuming that the objective for the proposed change is to improve the transparency of the spot market price for the commodity derivative markets and the related ecosystem, this proposal has the following pros and cons:

1. Pro: The traded price based process is currently being used by some large commodities derivatives exchange (LME) to set the end-of-day settlement price, and to calculate margins and positions.
2. Con: In fragmented markets such as several agricultural markets in India, it may be difficult to collect a traded price that is not vulnerable to *participant dominance*. This makes a traded price as vulnerable to manipulation, either by a single large trader or a set of traders acting in unison, as a polled price.

3. Con: The traded price may be a stale price; the actual market price can have moved since the trade. In this case, the traded price fails in its role to help discover the current value of the commodity.

Each of the elements listed above will also vary from commodity to commodity. This is the likely reason why there is no uniform manner in which benchmark prices are set for commodity markets globally.

Where the traded price may have a role to play is to augment / supplement the information offered by the polled price. Thus, while this proposal can be a recommendation, it is likely to be difficult to implement as a requirement or as a regulation.

9.2.9 Adopting IOSCO principles

These are well accepted principles, and there is no argument against adopting these. Many of these are already present in the existing SEBI Circular on price polling.

However, before making a blanket recommendation on adopting the IOSCO principles in the form of regulatory mandate, there is a need for a detailed review of the principles and their applicability and design for the Indian context.

3 Summary

In summary, this discussion paper presents and reviews the current regulatory framework that guides the behaviour of polling agencies and exchanges in establishing benchmark prices in the Indian commodities markets. At present, price polling is an arrangement between the exchange, the polling agencies and the polling participants, with the SEBI Circular providing the regulatory framework for dissemination and transparency. This white paper proposes an additional layer to this framework, including bringing polling agents and polling participants under SEBI's direct regulatory purview.

Whenever regulation is proposed, it must be done so as to correct some form of market failure, which can be one of four types: externalities, asymmetric information, market power, public goods. This discussion paper does not state what is the objective for which the proposals have been

put in place. What is more, none of the proposals are supported by any attempt at what are the costs of the regulation or what the benefits may be.

The proposals themselves are in two broad category: (1) those which define specific actions on the polling process itself, be it in the selection and size of the polling participants (Sections 9.2.1, 9.2.3-9.2.9), and (2) those which propose structural changes in the regulatory framework (Section 9.2.2 which changes the relationship between the regulator and economic agents). If SEBI's objective is to improve public goods of commodity prices, we find that much of the current regulatory regime is consistent with the current global best practice on this issue. Thus where the proposals deal with details on the polling process, the cost benefit analysis perspective suggests that these should be left to the exchanges since they are best placed to evaluate the costs and the benefits.

With respect to the first category of proposals, what is missing in the existing framework is the measurement of consistency of its implementation. For instance, if exchanges are required by SEBI to disseminate information in a particular manner, there must be an audit by SEBI as whether this is being done. Therefore, our recommendation is that an independent audit on the implementation of the existing framework should be conducted as the first step to understand how the current framework is performing on the polling methodology for benchmark rates. This is also aligned with IOSCO principles on polling for benchmark rates.

With respect to the second category, that is structural change proposals, it is widely acknowledged that the incentives and behaviour of market participants is better supervised and monitored when there is clarity on the control mechanisms. At present, there is *regulatory control* on outcomes from exchanges by SEBI, and there is a *contractual control* on polling agencies and polling participants by exchanges. This separation of control may be better from the perspective of clarity of outcomes, and accountability. If this is disrupted by SEBI becoming a regulator of the polling participants and process, then there will be dual oversight and the accountability mechanism may get disrupted. This may create uncertainty, place additional compliance burden on participants, and create possible loopholes for manipulation and malpractice.

Our analysis shows that nothing in the SEBI white paper shows that the benchmark polling framework is not on the right track, and requires change.

Hence, it should remain in place as is, until there is robust evidence that a change is required.

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